

- GSCI = GSCI Index
- LTR = Merrill Lynch 7–10 year Government Bond Index²

Table 9.1 Benchmark Summary Statistics

	SP500	EAFE	REIT	GSCI	LTR
CAGR	11.74%	9.57%	14.02%	5.50%	8.56%
Standard Deviation	15.01%	17.04%	17.02%	19.15%	8.36%
Downside Deviation (MAR = 5%)	11.01%	12.09%	14.48%	13.53%	5.21%
Sharpe Ratio	0.50	0.34	0.58	0.12	0.45
Sortino Ratio (MAR = 5%)	0.66	0.47	0.67	0.16	0.69
Worst Drawdown	— 50.21%	— 56.68%	— 68.30%	— 69.39%	— 20.97%
Worst Month Return	— 21.58%	— 20.18%	— 31.67%	— 28.20%	—8.41%
Best Month Return	13.52%	15.58%	31.02%	22.94%	15.23%
Profitable Months	62.61%	59.83%	63.68%	56.62%	64.10%

Benchmark Summary Statistics

Ten-year Treasury bonds (LTR) and US stocks (as represented by the S&P 500 Total Return Index) have performed well over the past 35 years. It is not surprising that market participants are so enamored with the 60/40 portfolio (60 percent US stocks or S&P 500, and 40 percent US bonds or LTR).

Strategy Summary Statistics

In [Table 9.2](#) we depict the simple Ivy 5 portfolio, the Ivy 5 portfolio with a moving average rule applied, a 60/40 portfolio, and an S&P 500 portfolio.

- IVY5_MA: five assets, equal-weight, annually rebalance
- 60/40: 60% SP500; 40% LTR, annually rebalance